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Standard Chartered

Standard Chartered Bank Kenya FY'23 Earnings Note

research@aib-axysafrica.com

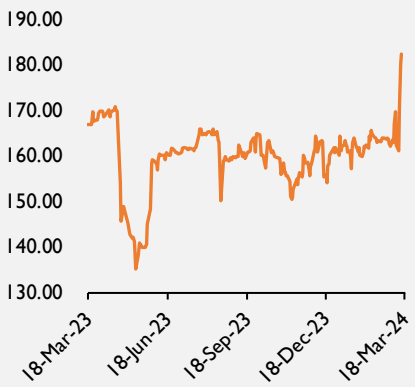


Standard Chartered Kenya FY'23 Earnings Note

March 19th, 2024

Ticker Information	
NSE Code:	SCBK
Issued Shares (Mn):	377.85
52-week high:	KES 185.75
52-week low:	KES 135.25

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	11.45%	11.79%	13.53%	9.28%

Source: NSE, AIB-AXYS Research

Analysts

Ronny Chokaa

rchokaa@aib-axysafrica.com

Stacy Makau

smakau@aib-axysafrica.com

Recommendation	Current Price	Target Price
BUY	**KES 185.75**	**KES 213.60**

Summary

- **Standard Chartered Bank Kenya surpassed in-house expectations to post a remarkable 14.7% y/y growth in net earnings to KES 13.84Bn throughout 2023**. Revenue growth was driven by a balanced demand growth in both affluent banking and mass retail propositions. Net Interest Margins widened to 10.4% on account of cheaper funding mobilization.
- **The Board of Directors recommend a final Dividend of KES 23.00 per share.** In addition to the earlier issued interim dividend of KES 6.00, it raises the total FY'23 dividend to KES 29.00. This distribution exceeded our upper-bound expectation of a total dividend of KES 25.00 – to clock a record dividend payout ratio of 79.0%.

Key Highlights

- **Robust Core Banking Performance:** Net Interest Income soared 32.0% y/y to KES 29.33Bn driven largely by organic demand growth and higher reinvestment returns whereas Non-Funded Income grew 5.5% y/y to KES 12.40Bn. This performance was mildly supported by a slower rise in pre-provision operating expenses (+20.2% y/y). The average Yield on Interest-Earning Assets paced up 160bps y/y to 11.3% while the Cost of Funds flatlined at 0.9% despite the rising interest-rate landscape. This came on the back of a cheaper funding base as exhibited by Current Accounts – Savings Accounts (CASA) ratio which stands at 97% of total deposits.

- **Resilient Asset Quality:** Gross Non-Performing Loans (NPLs) decreased significantly by 23.7% y/y to KES 17.22Bn - driving a 270bps y/y drop in the Total NPL ratio to 6.7%. The reduction in NPLs stemmed from the write-offs of legacy bad loans. Despite this, management elected to amplify credit impairment provisions by 154.4% y/y – signalling a cautious and prudent approach amidst a highly uncertain macro environment.

Balance Sheet Dynamics

Customer deposits grew 22.9% y/y to KES 342.85B, supporting a 17.0% y/y loan book expansion to KES 163.16Bn. Management trimmed the allocation to government securities by 34.2% y/y to KES 69.57Bn induced by attractive margins on customer assets and the need to support operational liquidity. Furthermore, the balance sheet experienced a noteworthy 280bps rotation into to local currency assets to comprise 60.5% of total assets. Notably, the lender booked fair value gains of KES 0.17Bn on account of a leaner duration of financial investments holdings.

Improved Efficiency:

The Cost-to-Income ratio (excluding loan provisions) declined 100bps y/y to 44.8% attributable to the stronger double-digit growth of the operating income (+22.8% y/y) to KES 41.73Bn relative to the 20% growth in Pre-provision operating expenses. Increased spending was allocated towards talent acquisition and reward strategies. Management elected to enhance loan loss provisions 154.4% y/y to KES 3.38Bn prompted by heightened credit risks stemming from the challenging macroeconomic landscape.

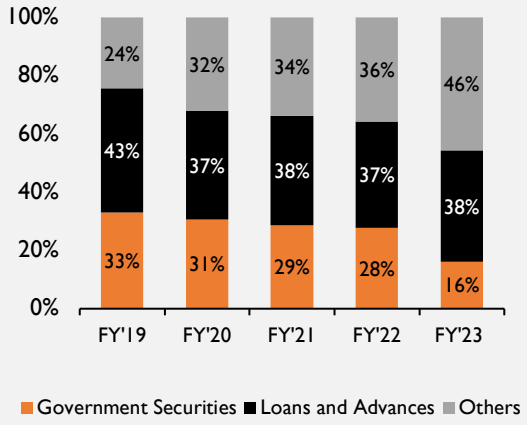
Outlook:

We anticipate the lender's long-term growth will be propelled by dual growth in affluent banking and mass retail propositions. We anticipate loan portfolio growth will be supported by inexpensive deposit mobilization on its revamped end-to-end digital banking solutions. We anticipate improved non-funded income performance arising from expanding cross-border trade. However, we remain concerned about looming asset quality pressures owing to the varied macroeconomic headwinds.

Recommendation

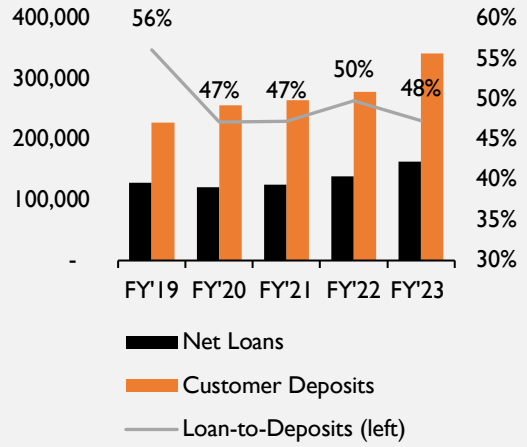
- We maintain our ***BUY*** recommendation on Standard Chartered Bank Kenya on account of an accelerating return on equity momentum amid ongoing strategic initiatives. At the current market price, the stock is trading at P/E ratio of 5.1x and a P/B ratio of 1.1x. Our one-year target price for Standard Chartered currently stands at KES 213.60 - representing a c.15.0% upside potential from current levels.

Chart 2: Shift in Asset Composition



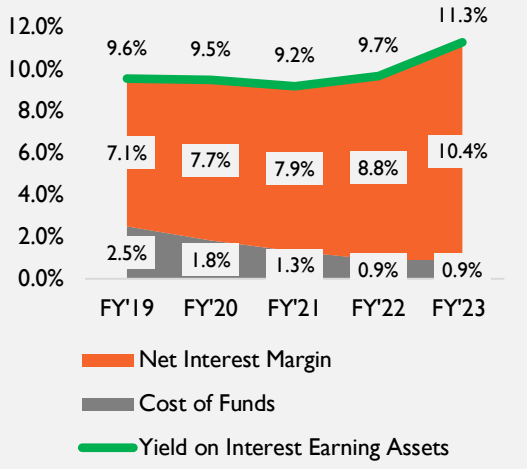
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Widening Net Interest Margin



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Mn)	FY'19	FY'20	FY'21	FY'22	FY'23	y/y % Change
Net Interest Income	19,472.49	19,117.15	18,809.42	22,223.07	29,325.09	▲ 32.0%
Net non-Interest Income	9,227.42	8,289.78	10,355.00	11,753.98	12,404.10	▲ 5.5%
Total Operating income	**28,699.91**	**27,406.93**	**29,164.42**	**33,977.05**	**41,729.19**	▲ 22.8%
Provision for Impairment	(572.59)	(3,882.16)	(2,081.63)	(1,328.46)	(3,380.00)	▲ 154.4%
Total Operating expenses	(16,526.06)	(20,010.88)	(16,566.37)	(16,873.85)	(22,060.10)	▲ 30.7%
Profit before tax	12,173.86	7,396.06	12,598.05	17,103.20	19,669.08	▲ 15.0%
Profit after tax	**8,236.77**	**5,440.42**	**9,043.84**	**12,057.94**	**13,836.07**	▲ 14.7%
Annualized EPS	21.85	14.43	23.99	31.99	36.70	▲ 14.7%
DPS	20.00	10.50	19.00	22.00	29.00	▲ 31.8%

Balance Sheet	FY'19	FY'20	FY'21	FY'22	FY'23	y/y % Change
Government Securities	99,628.93	99,779.22	95,595.61	105,696.88	69,574.70	▼ (34.2%)
Loans and Advances	128,690.34	121,524.23	125,974.59	139,412.56	163,161.78	▲ 17.0%
Total Assets	**302,139.06**	**325,605.07**	**334,871.94**	**381,260.02**	**428,962.18**	▲ 12.5%
Customer Deposits	228,433.52	256,497.53	265,469.11	278,879.31	342,853.24	▲ 22.9%
Total Liabilities	**254,378.53**	**274,715.03**	**281,657.83**	**325,123.29**	**367,429.91**	▲ 13.0%
Shareholder's Funds	**47,760.53**	**50,890.04**	**53,214.11**	**56,136.73**	**61,532.27**	▲ 9.6%

	FY'19	FY'20	FY'21	FY'22	FY'23	y/y change
Spreads Analysis						
Yield on Interest Earning Assets	9.6%	9.5%	9.2%	9.7%	11.3%	▲ 1.6%
Cost of Funds	2.5%	1.8%	1.3%	0.9%	0.9%	-
Net Interest Margin	7.1%	7.7%	7.9%	8.8%	10.4%	▲ 1.6%
Return on Average Equity	17.3%	10.9%	17.3%	21.8%	23.5%	▲ 1.7%
Return on Average Assets	2.8%	1.7%	2.7%	3.4%	3.4%	▲ 0.0%
Profit Margin	28.7%	19.9%	31.0%	35.5%	33.2%	▼ (2.3%)
Operating Efficiency						
Cost to Income Ratio (Less LLP)	55.6%	58.8%	49.7%	45.8%	44.8%	▼ (1.0%)
Cost to Assets Ratio (Less LLP)	5.4%	5.1%	4.4%	4.3%	4.6%	▲ 0.3%
Loan to Deposit Ratio	56.3%	47.4%	47.5%	50.0%	47.6%	▼ (2.4%)
Asset Quality						
Total NPL Ratio	9.5%	10.9%	10.9%	9.4%	6.7%	▼ (2.7%)
NPL Coverage	78.7%	80.6%	84.4%	87.1%	81.6%	▼ (5.6%)
Cost of Risk	2.0%	14.2%	7.1%	3.9%	8.1%	▲ 4.2%
Capital Adequacy						
Core Capital/TRWA	15.2%	15.5%	15.5%	15.4%	17.8%	▲ 2.4%
Total Capital /TRWA	18.3%	17.8%	17.8%	17.7%	17.8%	▲ 0.2%
Liquidity	70.1%	67.4%	70.7%	73.0%	66.3%	▼ (6.8%)



CONTACTS

Research Desk

Ronny Chokaa

Senior Research Analyst

Stacy Makau

Research Analyst

Hawa Yawe

Zainab Monyani

Alex Sanja

Email: research@aib-axysafrica.com

Equities Dealing

Nina Goswami

Bernard Kung'u

Benard Gichuru

Anthony Kiambati

Samuel Githinji

Sheema Shah

Samuel Wachira

Benson Ngugi

Email: trading@aib-axysafrica.com

Bond Dealing

Crispus Otieno

Titus Marenye

Aundrina Musyoka

Kenneth Minjire

Email: trading@aib-axysafrica.com

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